APEX CONSULTING · STRATEGY REPORT

From Decline to Premium Growth Brand

CERMEDES · Strategic Turnaround Plan 2026

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CERMEDES is losing value — not because of product quality, but because of pricing, distribution, and innovation gaps

€30.7M

Annual Revenue

Current base

4.1 / 5

Quality Rating

Strong product signal

10

Partners

Distribution network

Market reality

Core segments (electric, pneumatic) are contracting. The market environment is structurally difficult.

Core problem

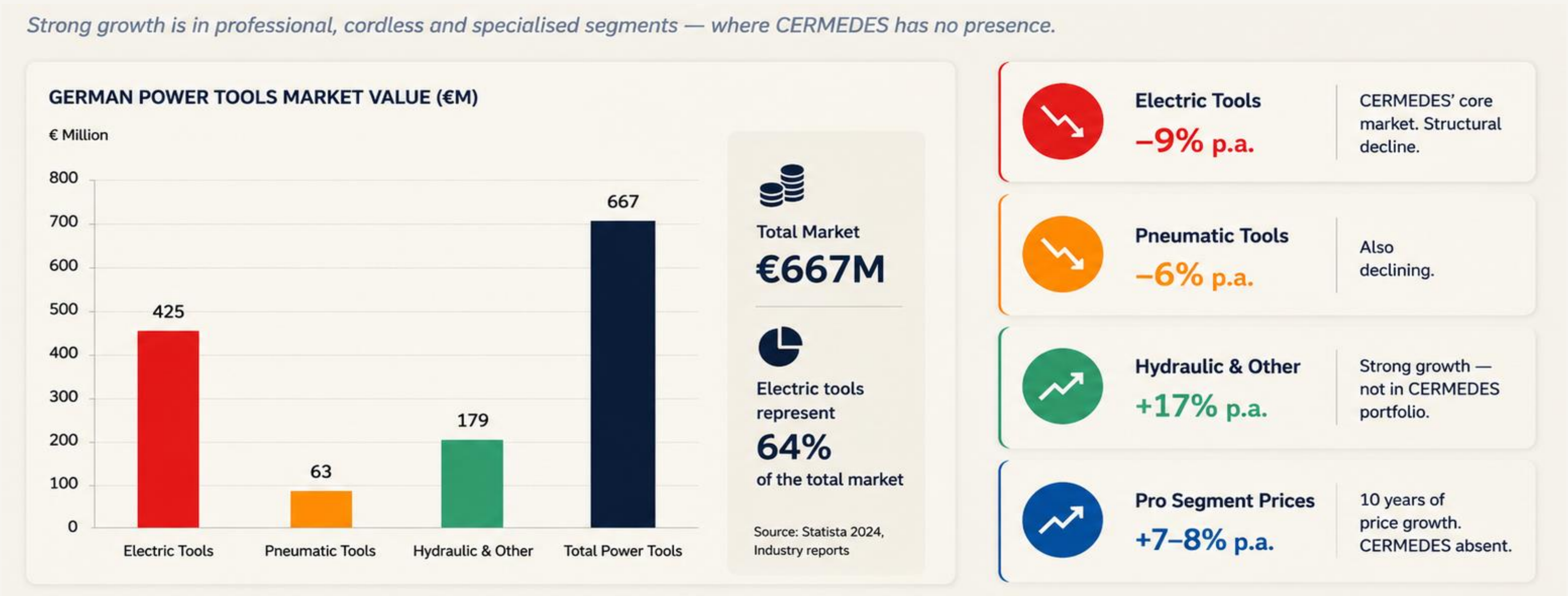
Strong products, weak value capture. Pricing below cost, margin leakage, over-reliance on one distributor.

Strategic response

Fix pricing → expand channels → build future segments. A phased turnaround with clear priorities.

Recommendation: Price · Reach · Future — three levers executed in sequence over 24 months.

Germany's €667M power tools market is polarising — and CERMEDES is on the wrong side

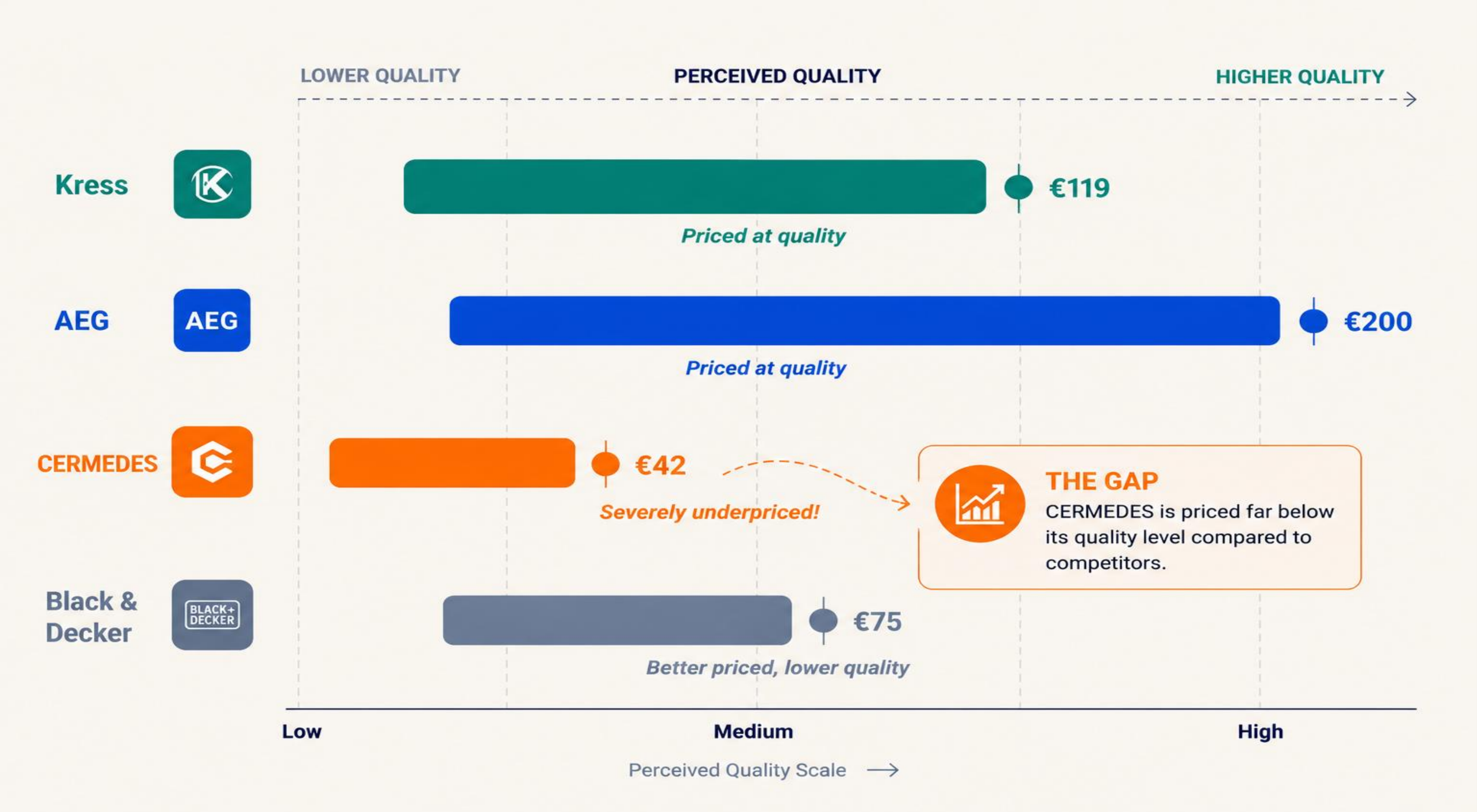


Cermedes is concentrated in the two declining segments. The upside is in professional-grade and cordless tools.

THE VALUE GAP

High-Quality Products. Low-Value Positioning.

PRICE vs. QUALITY — COMPETITIVE VALUE MAP



CERMEDES competes with premium brands on quality but captures only a fraction of the value through pricing.

PROBLEM 01

Strong Products Are Not Translating Into Strong Profits

Loss-making flagship SKU

DM500W is priced at €42 against a fully-loaded cost of €43. Every unit sold generates a loss. This signals a systematic failure in cost-to-price discipline.

€42 price vs €43 cost

Underpriced portfolio

Across the range, premium-quality SKUs are priced at commodity levels. The gap between perceived value and shelf price is leaving margin on the table.

Value gap uncaptured

Margin compressed by structure

Wholesaler take rates combined with high fixed production costs eliminate most gross margin. The business model needs repricing, not just cost cuts.

Structural margin pressure

Root cause: pricing was never re-optimised after product quality improved. A rapid repricing exercise is the first lever.

RECOMMENDATION 01

Capture The Value Already Being Created

Pricing actions

Low SKU DM500W Low volume, low margin, limited strategic fit	**Exit** Discontinue and reallocate resources
Strong SKUs High customer ratings, proven demand, pricing power	**+10–15%** Test pricing power in phase 1
Core SKUs Consistent demand, good margins, aligned to strategy	**+5–8%** Sustainable increase in phase 2

Brand Repositioning Strategy

3-year warranty Program

Signals long-term product confidence

Premium packaging refresh

Visual parity with price positioning

Reliability messaging

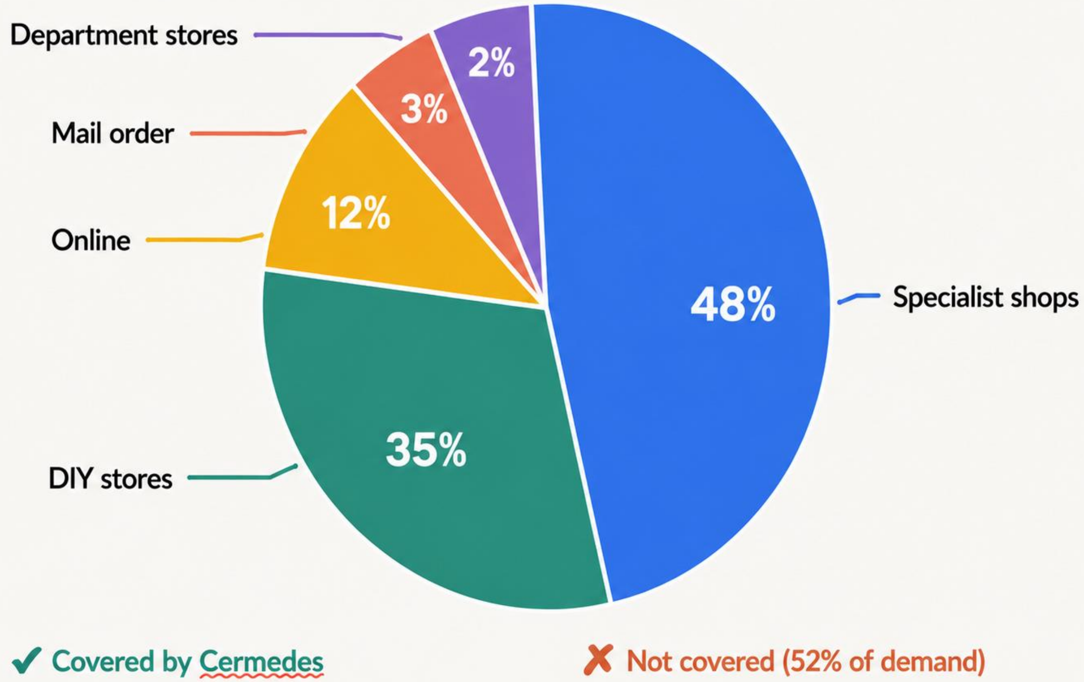
"German Made" Branding & Professional-grade positioning in market

Selective repricing allows CERMEDES to capture value that its product quality already justifies, improving profitability while supporting future growth investments.

PROBLEM 02

Cermedes is absent from 52% of demand and too dependent on one distributor

Where tools are bought



Revenue concentration risk

≈ 55%

of Cermedes revenue from Preußische alone

- Single buyer holds outsized pricing power
- Any contract renegotiation severely impacts margins
- No fallback if relationship deteriorates

Strategic imperative: diversify both channel presence and customer base within 12 months.

RECOMMENDATION 2A

Build A Multi-Channel Revenue Engine

Direct-to-Consumer
D2C webstore

Direct margin capture, first-party customer data, brand control. Highest margin per unit in the portfolio.

Online
Marketplace

Amazon - Organic reach, traffic scale, and credibility. Amazon Brand Store for full product catalogue.

DIY Retail
DIY Megastores

Demand capture at point of decision. Largest offline channel. Pilot listings with in-store promotions.

Export
AT · CH · NL

Reduce Preußische concentration. Local distributors with volume-linked exclusivity.

Goal: reduce Preußische revenue dependency from ~55% to below 35% within 24 months.

RECOMMENDATION 2B

Launch sequence: Digital ⟶ Retail ⟶ Export

01 Digital launch

Months 1–6

- Digital marketing campaign
- Amazon Brand Store — marketplace visibility
- D2C webstore — owned brand channel
- 3PL fulfilment setup — scalable logistics

02 Retail expansion

Months 4–12

- Pilot listings: DIY Megastores
- Shelf support and in-store promotions
- Category manager engagement

03 Export markets

Months 12–24

- Austria, Switzerland, Netherlands
- Partner with Local distributors
- Exclusive rights tied to volume targets

Use marketing support, product content, and partner incentives to help channels sell.

The fastest growth is in cordless and professional-friendly products — Cermedes has none

Product Gap Analysis

None	**Cordless Li-ion tools**	Fastest growing segment. No product.
None	**Ergonomic tool range**	Pro-user demand growing. No product.
None	**Measuring & precision**	Adjacent professional market. No product.
None	**3-in-1 multi-tools**	High attach rate. No product.

Market signal

- **+17% growth in the professional segment**
- **Cordless Li-ion adoption accelerating across all geographies**
- **Competitors already investing in cordless platforms**

Cermedes has a window to enter cordless before the market consolidates and cater to the needs of professional users.

RECOMMENDATION 03

Secure future growth through selective, stage-gated innovation

01

Build the team

Hire 2 product engineers (Month 6–12).
Lightweight R&D function focused solely on cordless Li-ion development.

02

Partner for speed

Source battery systems and components via OEM partnerships.
Avoids full battery R&D capex while enabling fast-to-market.

03

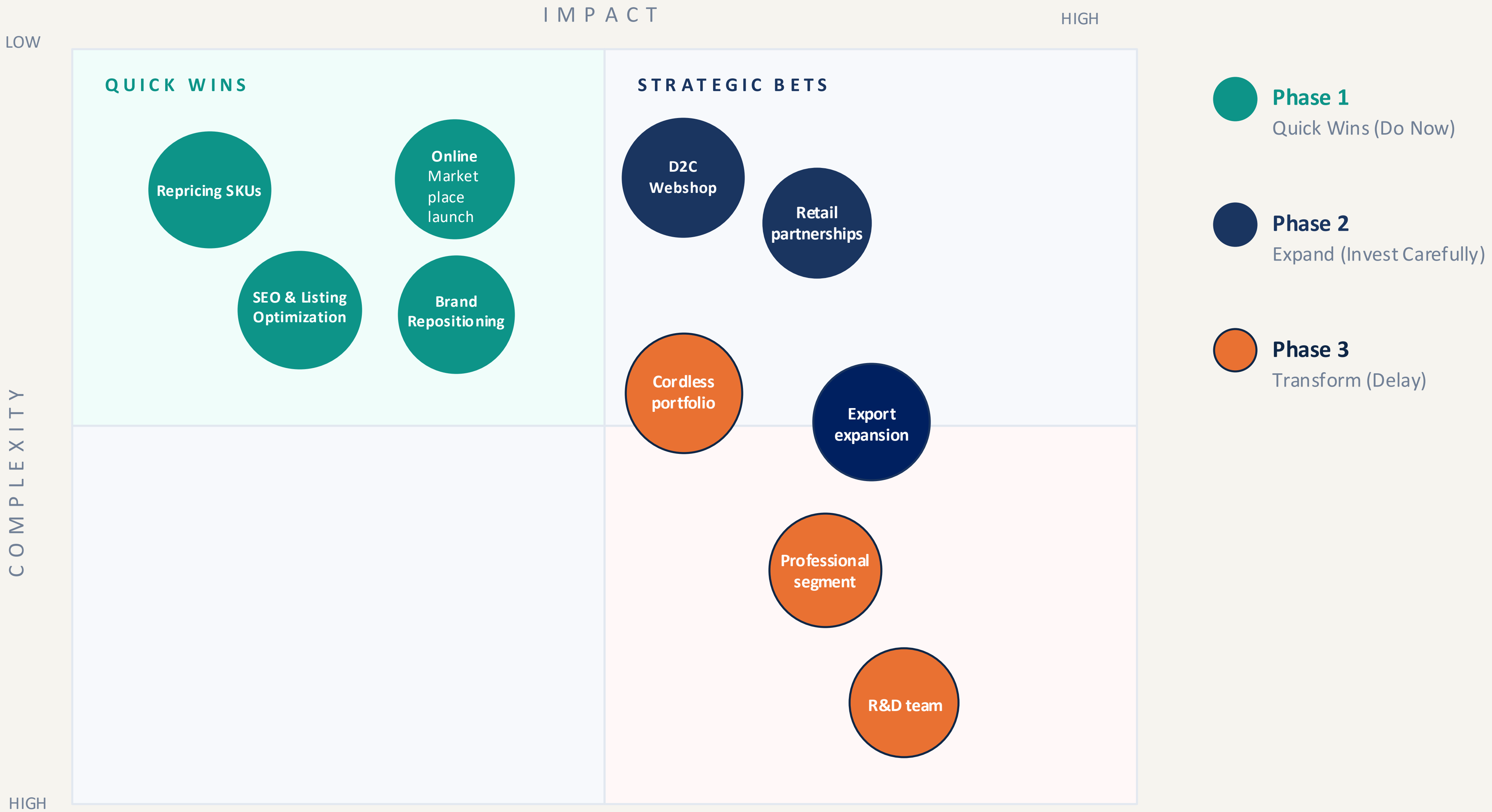
One flagship SKU

Launch one cordless flagship by Month 18.
Stage-gated: proof-of-concept → pilot production → controlled launch.

This is a strategic option, not the main turnaround engine. Execution should begin only after pricing and channel foundations are set.

Strategic Priority Matrix

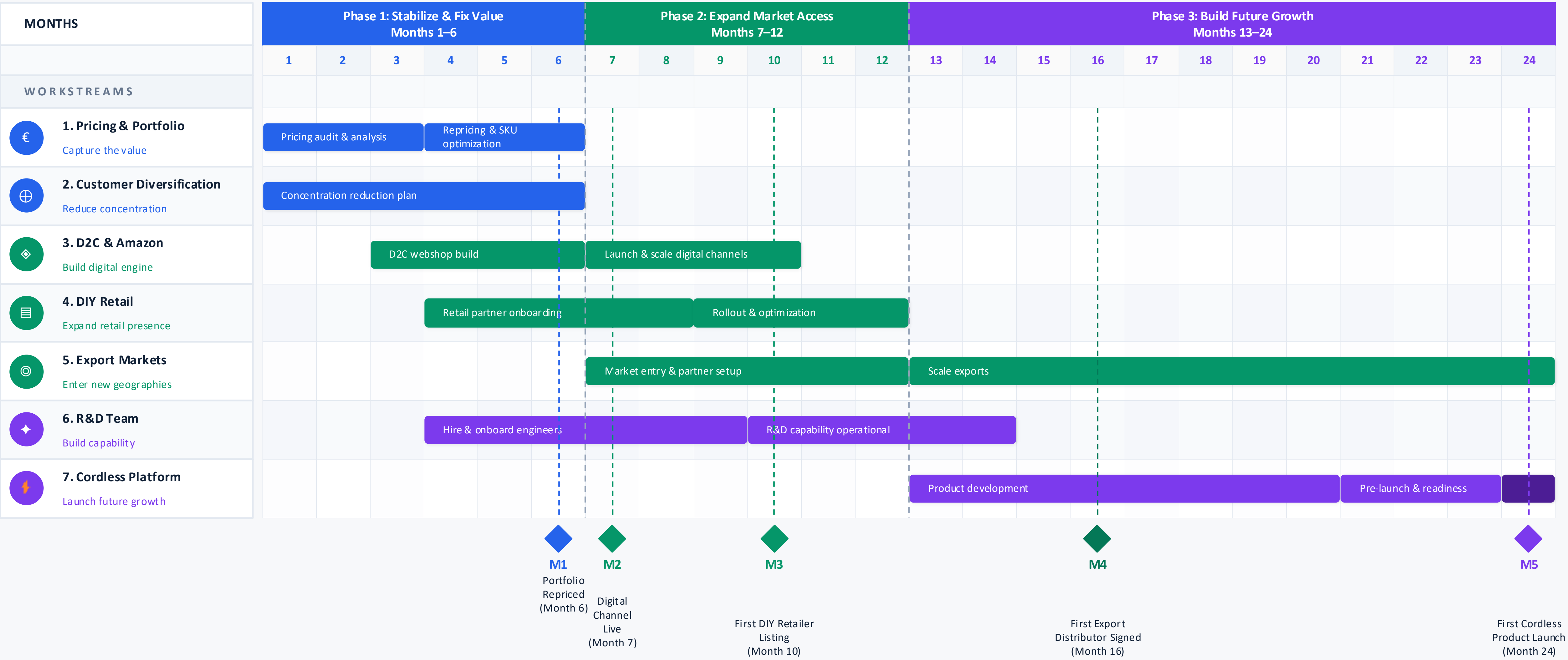
Sequence Initiatives by Impact and Complexity



Key message: Not all initiatives are equal. Sequence for maximum momentum.

24-Month Turnaround Plan & Key Milestones

Three phases. Seven workstreams. Five milestone decisions.



THE PATH TO TURNAROUND

Stabilize value. Expand reach. Build the future.

The turnaround requires €879k over 24 months, released in phases

€82k

Phase NOW

Pricing & Portfolio Optimization

€348k

Phase 1

Channel expansion

€383k

Phase 2

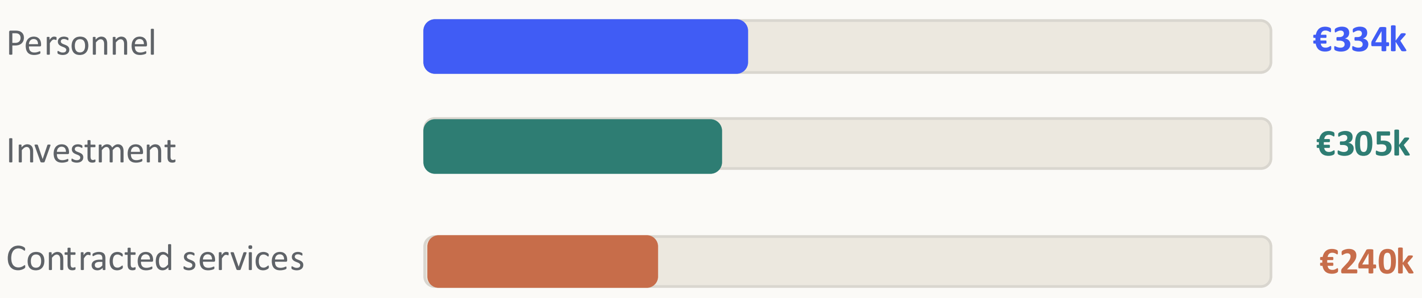
R&D and tooling (post-margin)

€66k

Project Management

Governance & oversight

Budget composition

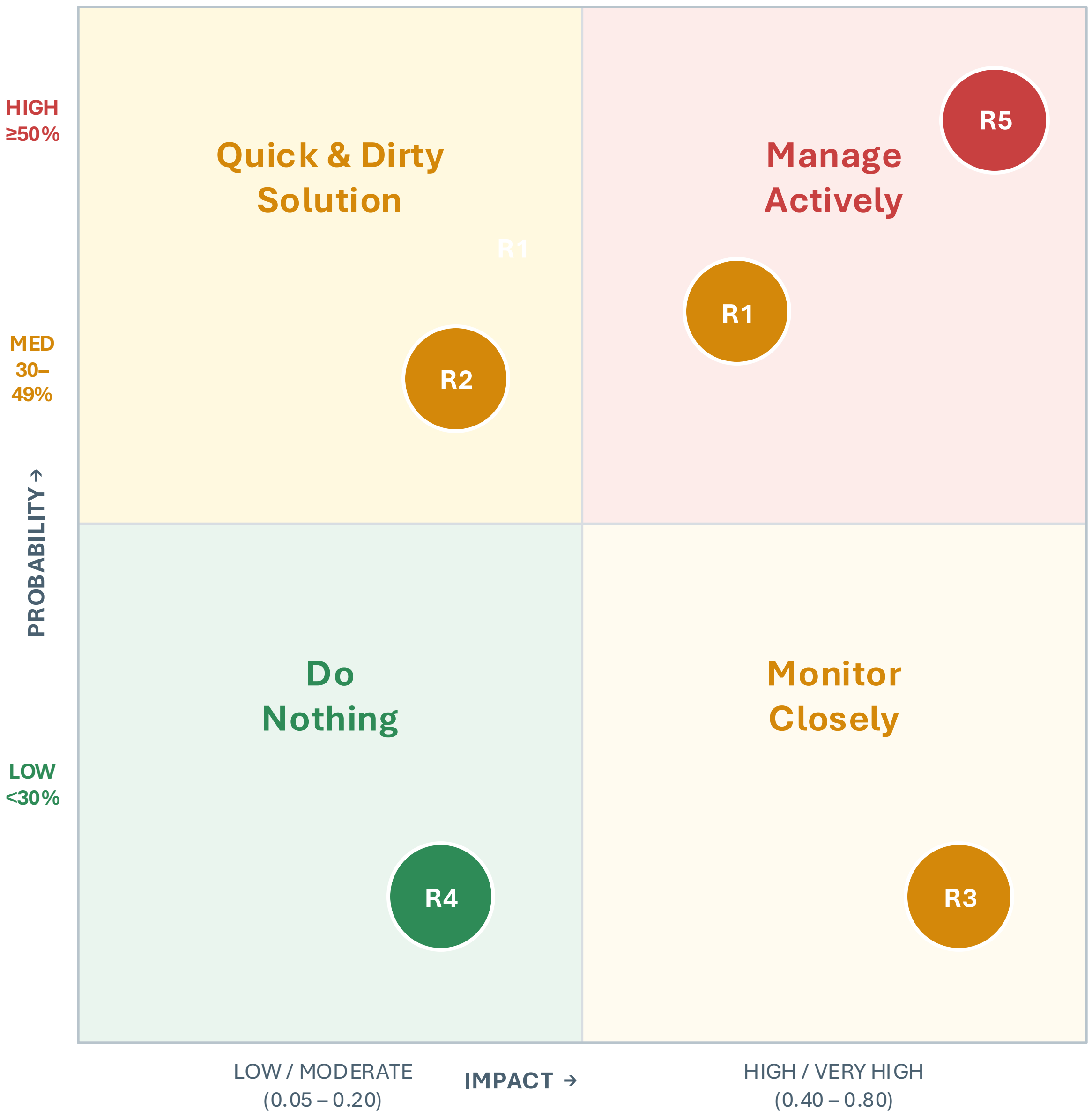


Funding logic

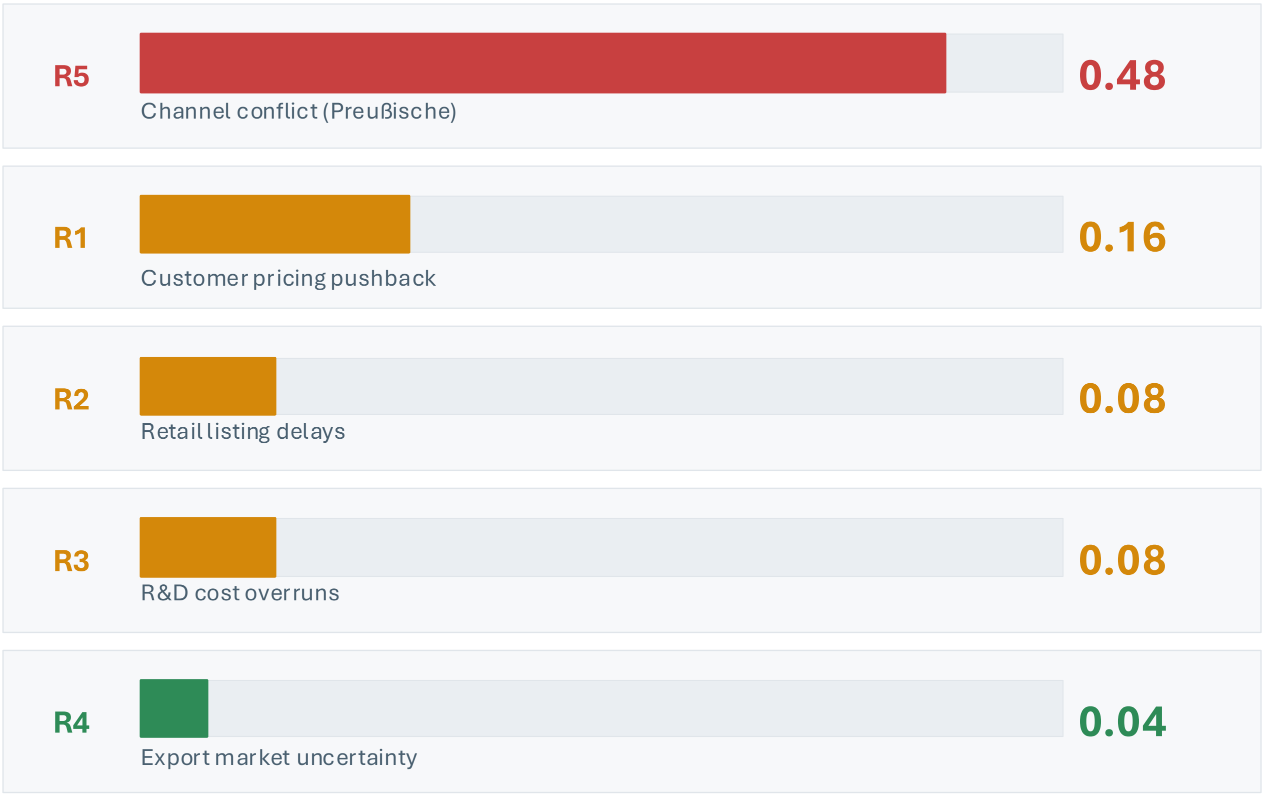
- Phase NOW funded by pricing actions
- Phase 1 funds channel expansion
- Phase 2 released only after early margin gains confirmed

Total budget: €879k · 2.86% of annual revenue · Stage-gated release protects cash position.

Risks Are Manageable and Outweighed by Strategic Benefits



Risk Score Ranking (Probability × Impact)



Risk Budget Required: €95,000 (10.8% of €879k total)

SME benchmark: 8–15% risk reserve · **Status: Within range ✓**

Risk Mitigation for CERMEDES

RISK	LIKELIHOOD	IMPACT	MITIGATION
Customer pushback on pricing	Medium	High	Phased 8–15% increase with warranty uplift
Retail listing delays (OBI/Hornbach)	Medium	Medium	Pilot launch via distributor first
R&D cost overruns	Low	High	Stage-gate development with go/no-go checkpoints
Export market uncertainty	Low	Medium	Distributor-first model, then direct
Channel conflict with Preußische	High	High	Channel-specific products & phased rollout

Overall risk profile: MANAGEABLE — highest risks have clear, tested mitigation paths.

Four hires and four decisions need management sign-off now

Pricing capability

Month 1–2

Senior Pricing Analyst

Owns: Pricing audit, repricing, distributor negotiation

Digital channel

Month 1–3

Digital Marketing Mgr

Owns: D2C, Amazon, channel communications

Innovation capability

Month 6–12

2 Product Engineers

Owns: Cordless Li-ion development, stage-gate

Export capability

Month 12–18

Export Sales Manager

Owns: AT/CH/NL distributor relationships

High-uncertainty items: R&D team setup and cordless launch require explicit CEO sign-off.

A Premium-Positioned CERMEDES in 24 Months

+48%

Indicative Revenue
Growth Over 24 Months

↑ Margins

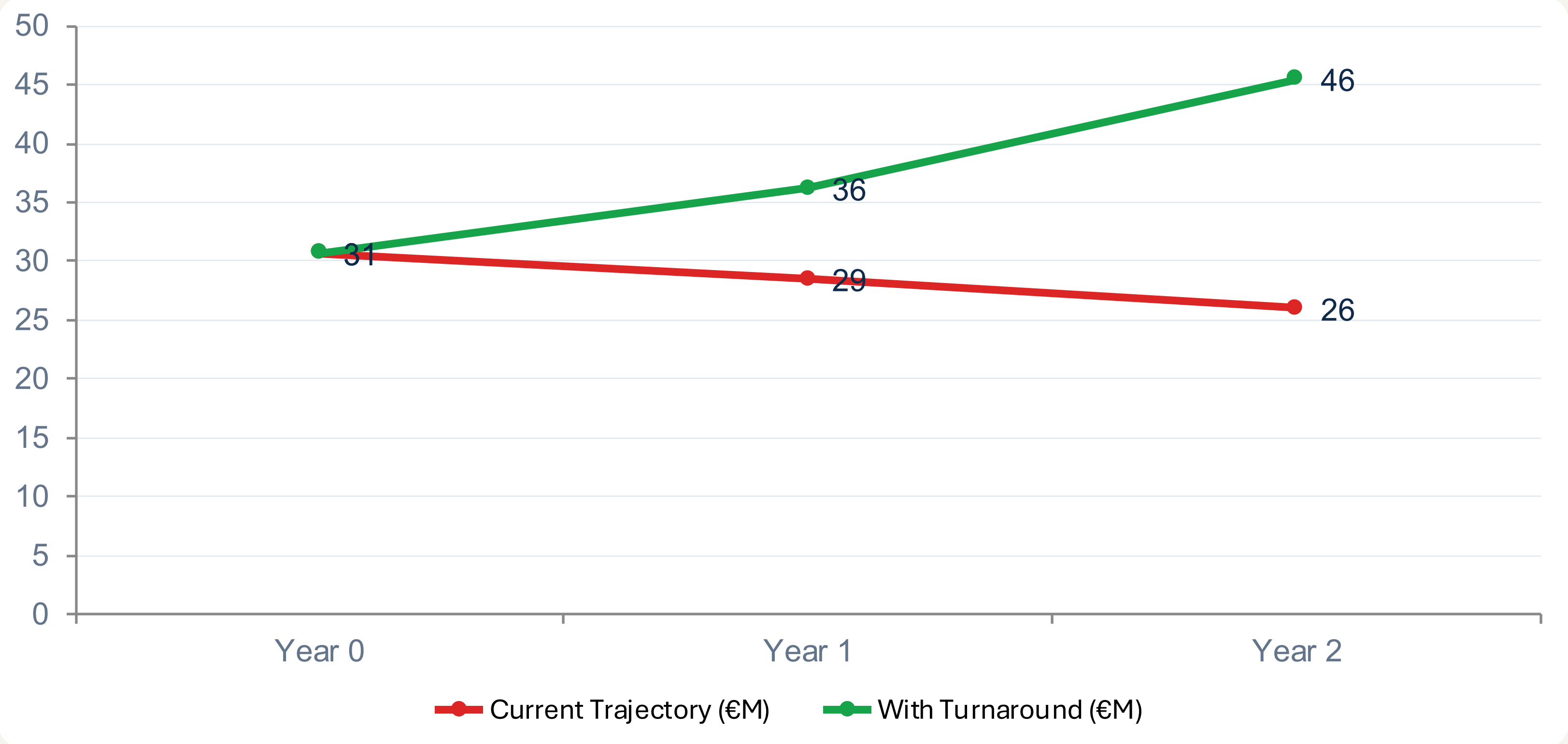
From Pricing Correction
& SKU Cleanup

3 New

Export Markets Activated
(AT / CH / NL)

M24

Cordless Flagship Launch
Targeted by Month 24



24-MONTH TRANSFORMATION

- ▲ +48% revenue uplift
- ↗ €4–7M new revenue from channels
- ✓ Preußische below 30% exposure
- ✓ 3 export markets live
- ✓ Cordless flagship launched

THE BOTTOM LINE

CERMEDES does not need better products first. It needs a better business model first.

Price

Reach

Future

Risk Management Plan — Cermedes GmbH Turnaround

#	RISK	ROOT CAUSE	PROB.	IMPACT	SCORE	STATUS	BUDGET	MEASURE	STRATEGY	OWNER
1	**Customer pushback on pricing**	*DIY prices falling 10 yrs; 15–20% hike planned*	40%	0.40 (High)	0.16		€15k	Phased 8–15% increase with warranty uplift	Mitigate	Sales Dir.
2	**Retail listing delays (OBI/Hornbach)**	*No existing relationship; committees meet quarterly*	40%	0.20 (Moderate)	0.08		€8k	Pilot launch via distributor first	Mitigate	Channel Mgr.
3	**R&D cost overruns**	*Zero baseline; first R&D dept; Li-ion = 44% of budget*	20%	0.40 (High)	0.08		€35k	Stage-gate go/no-go checkpoints	Mitigate	R&D Lead
4	**Export market uncertainty**	*Zero export baseline; NL adds cultural distance*	20%	0.20 (Moderate)	0.04		€12k	Distributor-first model, then direct	Accept	Intl. Mgr.
5	**Channel conflict — Preußische Elektro**	*D2C + OBI entry cuts their 60% share directly*	60%	0.80 (Very High)	0.48		€25k	Channel-specific products & phased rollout	Mitigate	CEO / BD

Risk Score = Probability × Impact (PMBOK 5th Ed. scale: Very Low 0.05 · Low 0.10 · Moderate 0.20 · High 0.40 · Very High 0.80) **Total Risk Budget: €95k = 10.8% of €879k project | Benchmark: 8–15% ✓**

Budget Plan

Cermedes GmbH · 24-Month Structural Turnaround

WBS	Phase / Work Package	Personnel (€)	Investment (€)	Contracted Svcs (€)	Phase Total (k€)
	PHASE NOW — Fix Revenue Model (Months 1–6)				
1.1	Pricing Audit	5,250	2,250	24,000	**30.5**
1.2	Repricing Plan & 500W Discontinuation	6,175	2,500	13,825	**21.5**
1.3	Reduce Preußische Elektro Concentration	10,600	3,600	13,800	**28.0**
	PHASE NOW Subtotal ◆ Milestone M1: Range Repriced	**22,025**	**8,350**	**51,625**	**82**
	PHASE 1 — Modernize Distribution (Months 4–18)				
2.1	D2C Webshop + E-Commerce Platforms	15,750	48,000	15,750	**79.5**
2.2	DIY Megastore Listing (OBI / Hornbach)	9,500	25,000	12,500	**47.0**
2.3	Export Markets — AT / CH / NL	85,500	4,500	23,500	**113.5**
3.1	Brand Repositioning	15,750	20,000	72,250	**108.0**
	PHASE 1 Subtotal ◆ Milestones M2 / M3 / M4	**126,500**	**97,500**	**124,000**	**348**
	PHASE 2 — Grow & Future-Proof (Months 12–24)				
3.2	R&D Team Setup ⚠	111,500	26,500	10,800	**148.8**
3.3	Cordless Li-ion Range Development & Launch ⚠	15,050	170,000	49,450	**234.5**
	PHASE 2 Subtotal ◆ Milestone M5: Li-ion Launch	**126,550**	**196,500**	**60,250**	**383**
	PROJECT MANAGEMENT — Cross-cutting (Months 1–24)				
PM	Planning · Controlling · Reporting · Coordination	59,200	2,400	4,000	**65.6**
	PM Subtotal	**59,200**	**2,400**	**4,000**	**66**
	▶ PROJECT TOTAL — 24-Month Turnaround	**334,275**	**304,750**	**239,875**	**879**

⚠ = High-uncertainty line · Personnel = internal opportunity cost + new hire salaries · Investment = one-time capex · Contracted Services = agencies, consultants, certification bodies

Risk Budget Calculation — Rationale & Methodology

EMV Principle · PMBOK 5th Ed.

Formula: Risk Budget = Expected Mitigation Response Cost *(NOT the full financial loss if risk occurs)* · Floor applied: minimum reserve even for low-probability risks

R1 Customer pushback on pricing

Mitigation response cost — **Score: 0.16** — **€15k**

› If 10% of customers resist and delay purchase → ~€770k revenue at risk for 1 quarter
› Budget covers response: communication materials + warranty uplift programme + sales team briefing
› Cross-check: ~50% of WP 1.1 Pricing Audit (€30.5k) used as contingency buffer

R2 Retail listing delays (OBI/Hornbach)

Re-engagement cycle cost — **Score: 0.08** — **€8k**

› WP 2.2 DIY Megastore listing = €47k total. A 3–6 month delay does not cost new money
› Budget covers: extended account management time + potential re-submission fees to OBI/Hornbach
› ~1 person-month of channel manager time + materials for one re-engagement cycle

R3 R&D cost overruns

15% contingency on Li-ion line item — **Score: 0.08** — **€35k**

› Li-ion development = €234.5k with zero baseline (no prior R&D dept in Cermedes history)
› Industry norm for first-time R&D builds: 15–20% contingency applied at 15%
› €234.5k × 15% = €35k · Released only when a stage-gate checkpoint triggers an overrun

R4 Export market uncertainty

~10% of export work package — **Score: 0.04** — **€12k**

› WP 2.3 Export Markets (AT/CH/NL) = €113.5k. Distributor-first model caps direct capital exposure
› Reserve covers: legal review of distributor contracts in 3 jurisdictions + one market re-entry attempt
› €113.5k × 10% ≈ €12k · Lowest reserve justified by distributor model de-risking

R5 Channel conflict — Preußische Elektro

Legal review + account management — **Score: 0.48** — **€25k**

› Legal review of existing distribution agreement before D2C launch: ~€15k external legal counsel
› Dedicated account management during transition to proactively manage relationship: ~€10k (3–4 months BD)
› ⚠ ***Note: actual revenue exposure if Preußische retaliates = €15–18M — NOT budgeted here (strategic risk, CEO-owned)***

TOTAL: R1 €15k · R2 €8k · R3 €35k · R4 €12k · R5 €25k = **€95,000**

10.8% of €879k · Benchmark 8–15% ✓

REVENUE TRAJECTORY

Turnaround vs. Decline: Two Futures for Cermedes

NO INTERVENTION

Today

€30.7M

Starting point

Year 1

€29M

−7% decline

Year 2

€26M

−10% further drop

Assumes ongoing market decline (−7–8% p.a.) with no strategic action

VS

TURNAROUND SCENARIO

YEAR 1

€30.7M → €36M

+17% ▲ €5.3M

Pricing correction | D2C launch | Amazon launch | DIY onboarding

YEAR 2

€36M → €46M

+28% ▲ €10M

Export markets | DIY scale-up | Reduce concentration | Cordless launch

+48%

Indicative Revenue Growth

€30.7M → €46M over 24 months

(46 − 30.7) ÷ 30.7 = 49.8% ≈ +48% indicative

vs €26M decline